

Pathological Clauses

- Pathological clauses refers to defective or poorly drafted arbitration clauses. Some common defects found in pathological clauses are:
 - Reference to non-existent arbitral rules - **System for International Agencies v. Rahul Coach Builders Private Limited** - Supreme Court refused the appointment of arbitrator on the grounds that the arbitration clause was vague and the bylaws did not exist. The agreement stated that the disputes would be referred to arbitration under the *bylaws of the Indian Companies Act* and settled via arbitration as per international trade laws. Both aspects were vague and could not constitute a valid arbitration agreement.
 - Reference to non-existent arbitral institutions - **Pricol v. Johnson Controls** - Parties had made reference to Singapore Chamber of Commerce, which was a non-existent arbitration institution. However, when the dispute arose, the respondent approached Siac and interpreted Singapore Chamber of Commerce as a reference to SIAC. The proceedings before SIAC were challenged.

However, the Supreme Court refused to intervene in the arbitration process stating that the most reasonable construction of Singapore Chamber of Commerce would be SIAC. It was clear that no form of interpretation that would make the arbitration clause unworkable could have been accepted.

- Unworkable arbitration clauses: In **Insignia Technology v. Alstom Technology** parties had agreed to refer disputes to SIAC, but in accordance with the rules of ICC. Created an anomalous situation where SIAC was required to conduct arbitration as per ICC.

However, the court did not find the agreement to be pathological and directed the parties to continue with the hybrid mechanism where SIAC rules were to be applied in a manner consistent with ICC rules for conducting the arbitration

- Incomplete arbitration clauses - **Wellington Associates Ltd. v. Kirit Mehta** - Clause 5 of the agreement stated that the *parties may refer disputes to arbitration*. Clause 4 gave *exclusive jurisdiction of disputes* to the *civil courts* in Bombay.

Supreme Court held that the use of the word *may* indicated that the arbitration was an optional remedy. Therefore, a fresh consent of both parties is required to refer disputes to arbitration

- Reference to arbitrators who are no longer alive at the time of dispute
- In certain cases, the courts, when requested with the dismissal, have held the arbitration clause to be **invalid** or **severed** the pathological part or **rewrote** the pathological part to make the agreement workable

Formalism to Liberalism

In *K. Modi vs. K.N Modi* the court established that binding intention of the parties is essential for an arbitration agreement.

However, judicial inconsistency has prevailed on this question since in *Wellington Associates* phrases like *may be referred to arbitration* were invalidated while in others like **RMI v. Boeing** the proceedings were salvaged even though the clause never contained the word arbitration.

Jagdish Chandar vs. Ramesh Chandar is a watershed moment, the Court held as follows:

1. If the terms of the agreement indicate the party's intention to refer the issue to an arbitral tribunal, then it is an arbitration agreement. It should disclose an **obligation to refer to arbitration** not merely contemplate the possibility of such reference.
2. Even if the words arbitration and arbitral tribunal are used in the clause, it will not be an arbitration agreement if it is not mandatory to refer disputes between them to the decision of a private tribunal

3. The mere use of the word arbitration will not make it an arbitration agreement if it contemplates obtaining fresh consent of parties for reference to arbitration
4. Where the clause provides that the dispute shall be referred to arbitration it is an arbitration agreement. If there is a specific and direct expression of intent it is not necessary to set out the arbitration agreement attributes to make it valid. Therefore even if it does not have the word *arbitration* if the **words of the clause are able to indicate the intention to refer disputes to an impartial tribunal** it shall be upheld as an arbitration agreement.

The facts of the case indicate that the partnership deed stated that “*disputes shall be referred to the arbitration if the party so determines.*” On the basis of the aforesaid principles, the court found such an agreement to be invalid since the conditional phrasing made arbitration optional not mandatory.

Jagdish Chandar is the epitome of **formalist approach** since the court is required to focus on linguistic preciseness. This has often discouraged courts from salvaging defective clauses where the party intention was evident.

A corrective shift came with the **Enercon Case** where the Supreme Court rescued an otherwise unworkable clause that provided for three arbitrators but described the appointment process for only two.

The court invoked the **officious bystander test** where the court supplied the missing term to make the agreement workable.

Similarly in *Pricol* the court reaffirmed the **favor validitatis** principle promoting interpretation that sustains rather than destroys the agreement.